Form 1040

U.S. Individual Income Tax Return

2024

Page 1

Name(s) shown on return	Taxpayer SSN
ROBERT SMITH JR. & LISA MARIE SMITH	**333-44-5555**

Taxpayer: ROBERT SMITH JR. **SSN 333-44-5555**

Spouse: LISA MARIE SMITH **SSN 444-55-6666**

Home address: 123 SMITH STREET

SAN ANTONIO, TX 78253

☒ **Married filing jointly** ☐ Single ☐ MFS ☐ HOH ☐ QSS

Digital assets: No [X] Yes [ ] Presidential campaign: You [ ] Spouse [ ]

Standard deduction: Neither spouse is a dependent; neither is age 65+ or blind.

Dependent name	Social security no.	Relationship	CTC / ODC
ROBERT SMITH III	111-22-7777	SON	X / -
MELISSA SMITH	222-33-7777	DAUGHTER	X / -
JUDITH SMITH	777-88-9999	DAUGHTER	X / -

Income and deductions

1a	Wages from Forms W-2, box 1	**327,003**
1b	Household wages not on W-2	**0**
1c	Unreported tips	**0**
1d	Taxable Medicaid waiver payments	**0**
1e	Taxable dependent care benefits	**0**
1f	Employer adoption benefits	**0**
1g	Wages from Form 8919	**0**
1h	Other earned income	**0**
1i	Nontaxable combat pay election	
1z	**Total wages**	**327,003**
2a/b	Tax-exempt interest: 0 | Taxable interest (2b)	**1,116**
3a/b	Qualified dividends (3a): 4,898 | Ordinary dividends (3b)	**6,744**
4a/b	IRA distributions: 0 | Taxable amount	**0**
5a/b	Pensions and annuities: 0 | Taxable amount	**0**
6a/b	Social Security benefits: 0 | Taxable amount	**0**
7	Capital gain; Schedule D attached	**26,383**
8	Additional income; Schedule 1, line 10	**0**
9	**Total income**	**361,246**
10	Adjustments; Schedule 1, line 26	**300**
11	**Adjusted gross income**	**360,946**
12	Itemized deductions; Schedule A	**31,692**
13	Qualified business income deduction; Form 8995	**43**
14	Total deductions	**31,735**
15	**Taxable income**	**329,211**

Form 1040 U.S. Individual Income Tax Return 2024

Name(s) shown on return	Taxpayer SSN
ROBERT SMITH JR. & LISA MARIE SMITH	**333-44-5555**

Tax and credits

16	Tax; Qualified Dividends and Capital Gain Tax Worksheet	**62,280**
17	Schedule 2, line 3	**0**
18	**Total tax before credits**	**62,280**
19	Child tax credit; Schedule 8812	**6,000**
20	Schedule 3, line 8	**539**
21	Total credits	**6,539**
22	**Income tax after credits**	**55,741**
23	Other taxes; Schedule 2, line 21	**2,232**
24	**Total tax**	**57,973**

Payments

25a	Federal income tax withheld from Forms W-2	**25,394**
25b	Federal income tax withheld from Forms 1099	**0**
25c	Federal withholding from other forms	**0**
25d	**Total federal income tax withheld**	**25,394**
26	2024 estimated payments; no prior-year credit assumed	**13,685**
27	Earned income credit	**0**
28	Additional child tax credit	**0**
29	Refundable American opportunity credit	**0**
30	Reserved for future use	
31	Other payments; Schedule 3, line 15	**4,113**
32	Other payments and refundable credits	**4,113**
33	**Total payments**	**43,192**

Refund or amount owed

34	Overpayment	**0**
35a	Refund requested; no direct deposit authorized	**0**
36	Applied to 2025 estimated tax	**0**
37	**Amount owed, excluding any penalty or interest**	**14,781**
38	Estimated tax penalty - IRS to calculate	

Third-party designee: No [X] Yes [ ] | Routing/account numbers: blank

SIGN HERE - signatures intentionally blank for review

Taxpayer signature: _____ Date: _____ Occupation: SALESMAN

Spouse signature: _____ Date: _____ Occupation: TEACHER

Phone: 222-867-5309 | Email: BOBSMITH@SMITH.COM | IP PIN(s): pending confirmation

Paid preparer / PTIN / firm / EIN / signature / date: to be completed by the firm before filing.

Schedule 1

Additional Income and Adjustments to Income

2024

Page 1

Seq. 01

Name(s) shown on return	Taxpayer SSN
ROBERT SMITH JR. & LISA MARIE SMITH	**333-44-5555**

Part I - Additional income

1	State/local taxable refunds	**0**
2a	Alimony received	**0**
3	Business income	**0**
4	Other gains or losses	**0**
5	Rental, royalty and pass-through income	**0**
6	Farm income	**0**
7	Unemployment compensation	**0**
8a-z	Other income sublines: none	**0**
9	Total other income	**0**
10	**Additional income; carry to Form 1040, line 8**	**0**

No Forms 1099-K, self-employment, rentals, unemployment, retirement distributions or other additional income were provided or indicated on the intake questionnaire.

Schedule 1

Additional Income and Adjustments to Income

2024

Seq. 01

Name(s) shown on return	Taxpayer SSN
ROBERT SMITH JR. & LISA MARIE SMITH	**333-44-5555**

Part II - Adjustments to income

11	Educator expenses - Lisa; statutory limit	**300**
12	Certain employee business expenses	**0**
13	Health savings account deduction	**0**
14	Moving expenses - Armed Forces	**0**
15	Deductible self-employment tax	**0**
16	Self-employed retirement plans	**0**
17	Self-employed health insurance	**0**
18	Early withdrawal penalty	**0**
19a	Alimony paid	**0**
20	IRA deduction	**0**
21	Student loan interest - fully income phased out	**0**
22	Reserved for future use	
23	Archer MSA deduction	**0**
24a-z	Other adjustments: none	**0**
25	Total other adjustments	**0**
26	**Total adjustments; carry to Form 1040, line 10**	**300**

Schedule 2

Additional Taxes

2024

Page 1

Seq. 02

Name(s) shown on return	Taxpayer SSN
ROBERT SMITH JR. & LISA MARIE SMITH	**333-44-5555**

Part I - Tax

1a-y	Tax additions and credit repayments: none	**0**
1z	Total additions	**0**
2	Alternative minimum tax; screening workpaper shows none	**0**
3	**Tax; carry to Form 1040, line 17**	**0**

Part II - Other taxes

4	Self-employment tax	**0**
5	Tax on unreported tips	**0**
6	Tax on wages from Form 8919	**0**
7	Total additional Social Security/Medicare tax	**0**
8	Additional tax on tax-favored accounts	**0**
9	Household employment taxes	**0**
10	Homebuyer credit repayment	**0**
11	Additional Medicare Tax; Form 8959	**931**
12	Net investment income tax; Form 8960	**1,301**
13	Uncollected tax from W-2 codes A/B/M/N	**0**

Schedule 2

Additional Taxes

2024

Page 2

Seq. 02

Name(s) shown on return	Taxpayer SSN
ROBERT SMITH JR. & LISA MARIE SMITH	**333-44-5555**

Part II - Other taxes (continued)

14	Tax on non-effectively connected income	**0**
15	Interest on deferred installment tax	**0**
16	Recapture of low-income housing credit	**0**
17a-z	Other additional tax sublines: none	**0**
18	Total other additional taxes	**0**
19	Recapture of net elective payment election	**0**
20	Section 965 installment	**0**
21	**Total other taxes; carry to Form 1040, line 23**	**2,232**

Line 21 = line 11 of $931 plus line 12 of $1,301. No other additional tax is supported by the documents supplied. Lisa W-2 box 12a requires code confirmation before this draft is finalized.

Schedule 3

Additional Credits and Payments

2024

Seq. 03

Name(s) shown on return	Taxpayer SSN
ROBERT SMITH JR. & LISA MARIE SMITH	**333-44-5555**

Part I - Nonrefundable credits

1	Foreign tax credit; election not to file Form 1116	**211**
2	Child/dependent care credit; Form 2441	**328**
3	Education credits	**0**
4	Retirement savings credit	**0**
5a	Residential clean energy credit	**0**
5b	Energy efficient home improvement credit	**0**
6a-z	Other credit sublines: none	**0**
7	Total other nonrefundable credits	**0**
8	**Total; carry to Form 1040, line 20**	**539**

Part II - Other payments and refundable credits

9	Net premium tax credit	**0**
10	Extension payment	**0**
11	Excess Social Security tax withheld - Robert only	**4,113**
12	Federal fuel tax credit	**0**
13a-z	Other refundable credit/payment sublines: none	**0**
14	Total other payments/refundable credits	**0**
15	**Total; carry to Form 1040, line 31**	**4,113**

Schedule A — Itemized Deductions — 2024

Seq. 07

Name(s) shown on return	Taxpayer SSN
ROBERT SMITH JR. & LISA MARIE SMITH	333-44-5555

Medical and dental expenses

1	Age-limited LTC premiums; conditional qualified-policy treatment	1,760
2	Adjusted gross income	360,946
3	7.5% of adjusted gross income	27,071
4	Deductible medical expenses	0

Taxes paid

5a	State/local general sales taxes [X]; income tax [ ]	2,965
5b	Real estate taxes	6,748
5c	Personal property taxes	0
5d	Total state and local taxes	9,713
5e	Deductible SALT; 2024 $10,000 joint limit	9,713
6	Other taxes	0
7	Total deductible taxes	9,713

Interest paid

8a	Home mortgage interest reported on Form 1098	17,679
8b	Home mortgage interest not reported on Form 1098	0
8c	Points not reported on Form 1098	0
8d	Reserved for future use	
8e	Total home mortgage interest and points	17,679
9	Investment interest	0
10	Total deductible interest	17,679

Charitable gifts and total itemized deductions

11	Cash/check gifts - Red Cross and church	4,300
12	Noncash gifts	0
13	Prior-year carryover	0
14	Total charitable gifts	4,300
15	Casualty/theft losses	0
16	Other itemized deductions	0
17	**Total; carry to Form 1040, line 12**	31,692

18 Election to itemize below standard deduction: [ ] (not applicable)

Schedule B

Interest and Ordinary Dividends

2024

Seq. 08

Name(s) shown on return	Taxpayer SSN
ROBERT SMITH JR. & LISA MARIE SMITH	**333-44-5555**

Part I - Interest

Line	Payer / recipient	Interest
1	TX LENDING COMPANY - Robert	108
1	YELLOW ROSE BANK - Robert	40
1	YELLOW ROSE BANK - Lisa	968

2	Total interest	**1,116**
3	Savings-bond interest exclusion	**0**
4	**Taxable interest; carry to Form 1040, line 2b**	**1,116**

Part II - Ordinary dividends

Line	Payer / recipient	Dividends
5	YELLOW ROSE BANK - Lisa	6,744

6	**Ordinary dividends; carry to Form 1040, line 3b**	**6,744**

Part III - Foreign accounts and trusts

7a	Financial interest/signature authority in foreign accounts?	**No**
7a	Required to file FinCEN Form 114 (FBAR)?	**No**
7b	Foreign account country names	**N/A**
8	Foreign trust grantor, transferor or distribution recipient?	**No***

*Foreign trust answer assumes none; not specifically addressed on the questionnaire. Confirm before transmission. A domestic Form 1099-DIV reporting foreign tax does not by itself establish ownership of a foreign bank account.

Schedule D

Capital Gains and Losses

2024

Page 1

Seq. 12

Name(s) shown on return	Taxpayer SSN
ROBERT SMITH JR. & LISA MARIE SMITH	**333-44-5555**

Qualified opportunity fund disposition? Yes [ ] No [X]

Part I - Short-term capital gains and losses

Line / category	Proceeds (d)	Basis (e)	Adj. (g)	Gain/loss (h)
1a Direct covered totals	0	0	0	0
1b Form 8949, box A	57	6,751	0	(6,694)
2 Form 8949, box B	0	0	0	0
3 Form 8949, box C	0	0	0	0

4	Other short-term gains	**0**
5	Pass-through short-term gains/losses	**0**
6	Short-term loss carryover	**0**
7	**Net short-term gain or loss**	**(6,694)**

Part II - Long-term capital gains and losses

Line / category	Proceeds (d)	Basis (e)	Adj. (g)	Gain/loss (h)
8a Direct covered totals	0	0	0	0
8b Form 8949, box D	43,877	11,268	468	33,077
9 Form 8949, box E	0	0	0	0
10 Form 8949, box F	0	0	0	0

11	Other long-term gains/losses	**0**
12	Pass-through long-term gains/losses	**0**
13	Capital gain distributions	**0**
14	Long-term loss carryover	**0**
15	**Net long-term gain or loss**	**33,077**

Schedule D

Capital Gains and Losses

2024

Page 2

Seq. 12

Name(s) shown on return	Taxpayer SSN
ROBERT SMITH JR. & LISA MARIE SMITH	**333-44-5555**

Part III - Summary

16	**Combine lines 7 and 15; carry to Form 1040, line 7**	**26,383**
17	Are lines 15 and 16 both gains?	**Yes**
18	28% rate gain	**0**
19	Unrecaptured section 1250 gain	**0**
20	Are lines 18 and 19 zero and no Form 4952?	**Yes**

Use the Qualified Dividends and Capital Gain Tax Worksheet to compute Form 1040, line 16. The Schedule D Tax Worksheet is not required.

21	Capital loss deduction	**N/A**
22	Qualified-dividend question for non-gain route	**N/A**

No prior-year capital loss carryover was supplied. This draft assumes none. Obtain the 2023 return to verify. A prior-year carryover could change this return.

Form 8949

Sales and Other Dispositions of Capital Assets

2024

Page 1

Seq. 12A

Name(s) shown on return	Taxpayer SSN
ROBERT SMITH JR. & LISA MARIE SMITH	**333-44-5555**

Part I - Short-Term transactions

Box A [X] - Transactions reported on Form 1099-B; basis reported to IRS.

(a) Property	(b) Acquired	(c) Sold
11 SHARES OF EXSTCK	03/08/2024	07/06/2024

(d) Proceeds	(e) Basis	(f) Code	(g) Adjustment	(h) Gain/loss
57	6,751	-	0	(6,694)

Line 2 totals (d)	Total (e)	Code	Total (g)	Total (h)
57	6,751	-	0	(6,694)

Carry totals to Schedule D, line 1b. This covered transaction is voluntarily detailed on Form 8949 rather than reported directly on Schedule D, line 1a.

No other transactions in this category were supplied.

Form 8949

Sales and Other Dispositions of Capital Assets 2024

Name(s) shown on return	Taxpayer SSN
ROBERT SMITH JR. & LISA MARIE SMITH	**333-44-5555**

Part II - Long-Term transactions

Box D [X] - Transactions reported on Form 1099-B; basis reported to IRS.

(a) Property	(b) Acquired	(c) Sold
18 SHARES OF BLU-FOR CORP	04/08/2019	08/25/2024

(d) Proceeds	(e) Basis	(f) Code	(g) Adjustment	(h) Gain/loss
43,877	11,268	W	468	33,077

Line 2 totals (d)	Total (e)	Code	Total (g)	Total (h)
43,877	11,268	-	468	33,077

Carry totals to Schedule D, line 8b. Code W is the positive wash-sale loss adjustment reported in Form 1099-B, box 1g. Broker confirmation is required because an overall gain and a wash-sale entry appear together on the statement.

No other transactions in this category were supplied.

Form 2441

Child and Dependent Care Expenses

2024

Seq. 21

Name(s) shown on return	Taxpayer SSN
ROBERT SMITH JR. & LISA MARIE SMITH	**333-44-5555**

MFS exception [ ] Student/disabled spouse deemed income [ ] Employer benefits: No

Part I - Care provider

Provider	Address	EIN	Household employee?	Paid
CHILDREN FIRST CHILD CARE CENTER OF TEXAS	777 CHILDCARE WAY, DALLAS, TX 75211	45-4564564	No	2,240

Part II - Qualifying persons and credit

2(a) Qualifying person	2(b) SSN	2(c) Disabled age 13+?	2(d) Eligible expense
ROBERT SMITH III	111-22-7777	No	820
MELISSA SMITH	222-33-7777	No	820

3	Total qualifying expenses (two-person $6,000 ceiling)	**1,640**
4	Robert earned income	**234,934**
5	Lisa earned income	**92,069**
6	Smallest of lines 3, 4 and 5	**1,640**
7	Adjusted gross income	**360,946**
8	Applicable percentage (AGI exceeds $43,000)	**0.20**
9a	Line 6 times line 8	**328**
9b	Prior-year expenses paid in 2024 credit	**0**
9c	Total tentative credit	**328**
10	Tax liability limit from credit limit worksheet	**62,069**
11	**Allowed credit; carry to Schedule 3, line 2**	**328**

Judith was age 14 at December 31, 2024; her $600 of care is excluded because no disability was reported. No dependent care benefits appear in W-2 box 10. Part III is not applicable.

Schedule 8812

Part I only

Credits for Qualifying Children and Other Dependents

2024

Seq. 47

Name(s) shown on return	Taxpayer SSN
ROBERT SMITH JR. & LISA MARIE SMITH	**333-44-5555**

Part I - Child tax credit and other dependent credit

1	Adjusted gross income	**360,946**
2a	Excluded Puerto Rico income	**0**
2b	Foreign earned income/housing exclusions	**0**
2c	American Samoa exclusion	**0**
2d	Total exclusions	**0**
3	Modified adjusted gross income	**360,946**
4	Qualifying children under 17 with required SSNs	**3**
5	Line 4 times $2,000	**6,000**
6	Other dependents	**0**
7	Line 6 times $500	**0**
8	Potential dependent credits	**6,000**
9	MFJ phaseout threshold	**400,000**
10	Excess over threshold	**0**
11	Phaseout reduction	**0**
12	Line 8 exceeds line 11: Yes [X]; difference	**6,000**
13	Credit Limit Worksheet A	**61,741**
14	**Allowed credit; carry to Form 1040, line 19**	**6,000**

Full $6,000 credit is nonrefundable and used against tax. Parts II-A and II-B are not applicable; additional child tax credit is zero. Citizenship/residency and employment-valid SSN issuance must be confirmed by the paid preparer.

Form 8995

Qualified Business Income Deduction - Simplified Computation

2024

Seq. 55

Name(s) shown on return	Taxpayer SSN
ROBERT SMITH JR. & LISA MARIE SMITH	**333-44-5555**

Qualified REIT dividend computation

No trade or business QBI is reported. The deduction arises solely from Lisa Form 1099-DIV, box 5, section 199A dividends. Joint taxable income before this deduction is below $383,900.

1	Trade/business QBI detail - none	
2	Total trade/business QBI	**0**
3	Prior-year qualified business loss carryforward	**0**
4	Total qualified business income	**0**
5	QBI component (20%)	**0**
6	Qualified REIT dividends and PTP income	**215**
7	Prior-year REIT/PTP loss carryforward	**0**
8	Net qualified REIT/PTP income	**215**
9	REIT/PTP component (20%)	**43**
10	Deduction before taxable-income limit	**43**
11	Taxable income before QBI deduction	**329,254**
12	Net capital gain plus qualified dividends	**31,281**
13	Line 11 less line 12	**297,973**
14	20% taxable-income limitation	**59,595**
15	**Allowed deduction; carry to Form 1040, line 13**	**43**
16	Qualified business loss carryforward	**0**
17	Qualified REIT/PTP loss carryforward	**0**

Form 8867

Paid Preparer Due Diligence Checklist

2024

Rev. November 2024 - Page 1

Seq. 70

Name(s) shown on return	Taxpayer SSN
ROBERT SMITH JR. & LISA MARIE SMITH	**333-44-5555**

CTC/ACTC/ODC [X] EIC [ ] AOTC [ ] HOH [ ]. Preparer name and PTIN: pending firm assignment. This form cannot be finalized until the responsible preparer completes required inquiries and certification.

Part I - Due diligence requirements

1	Return based on taxpayer information for 2024	**Yes**
2	Credit worksheets and schedules prepared	**Yes**
3	Knowledge requirement, including documented interview	**Pending**
4	Information appears incomplete/inconsistent	**Yes**
4a	Reasonable inquiries made to resolve issues	**Pending**
4b	Inquiries and responses contemporaneously documented	**Pending**
5	Document retention requirement satisfied	**Pending**
6	Taxpayer asked about ability to substantiate eligibility	**Pending**
7	Taxpayer asked about prior credit disallowance/reduction	**Pending**
7a	Form 8862 recertification if needed	**Pending**
8	Schedule C inquiries (no Schedule C reported)	**N/A**

Documents relied on: completed 2024 client intake questionnaire, three Forms W-2, dependent care statement, Forms 1099-INT, 1099-DIV, 1099-B, Form 1098, Form 1098-E, estimated payment schedule and LTC premium letter. See review memorandum for inquiry items.

Pending means unanswered, not a certification of compliance. No interview, prior-disallowance history or retention process is invented in this draft.

Form 8867

Paid Preparer Due Diligence Checklist

2024

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Seq. 70

Name(s) shown on return	Taxpayer SSN
ROBERT SMITH JR. & LISA MARIE SMITH	333-44-5555

Part II - EIC

9a-c	EIC questions - EIC not claimed	**N/A**

Part III - CTC/ACTC/ODC

10	Determine each child is a dependent and U.S. citizen/national/resident	**Pending**
11	Explain child residency requirement, if applicable	**Pending**
12	Explain divorced/separated-parent rules, if applicable	**Pending**

Part IV - AOTC

13	AOTC substantiation - credit not claimed	**N/A**

Part V - Head of household

14	HOH eligibility - filing status not claimed	**N/A**

Part VI - Eligibility certification

Responsible paid preparer must complete the interview, review eligibility evidence, truthfully complete Form 8867, transmit it with the return and retain required records for the applicable three-year period under the instructions.

15	**Certify that all answers are true, correct and complete**	**Pending**

FILING HOLD: This draft is not a completed due diligence certification. The senior accountant must resolve pending entries and supply the responsible preparer name/PTIN before e-filing.

Form 8959

Additional Medicare Tax

2024

Seq. 71

Name(s) shown on return	Taxpayer SSN
ROBERT SMITH JR. & LISA MARIE SMITH	**333-44-5555**

Part I - Medicare wages

1	Medicare wages/tips; all three W-2 box 5 amounts	**353,409**
2	Unreported tips	**0**
3	Form 8919 wages	**0**
4	Total Medicare wages	**353,409**
5	Married filing jointly threshold	**250,000**
6	Wages above threshold	**103,409**
7	Additional Medicare Tax at 0.9%	**931**

Parts II and III - Self-employment and railroad compensation

8-13	No self-employment income; additional tax	**0**
14-17	No RRTA compensation; additional tax	**0**

Part IV - Total Additional Medicare Tax

18	**Total; carry to Schedule 2, line 11**	**931**

Part V - Withholding reconciliation

19	Medicare tax withheld; total W-2 box 6	**5,124**
20	Medicare wages; line 1	**353,409**
21	Regular Medicare withholding at 1.45%	**5,124**
22	Additional Medicare Tax withheld on wages	**0**
23	Additional Medicare Tax withheld on RRTA	**0**
24	Total Additional Medicare withholding; Form 1040, line 25c	**0**

Form 8960

Net Investment Income Tax - Individuals, Estates and Trusts

2024

Seq. 72

Name(s) shown on return	Taxpayer SSN
ROBERT SMITH JR. & LISA MARIE SMITH	**333-44-5555**

Part I - Investment income

1	Taxable interest	**1,116**
2	Ordinary dividends	**6,744**
3	Annuities	**0**
4a	Rental, royalty, pass-through or business income	**0**
4b	Non-section 1411 business adjustment	**0**
4c	Net business income	**0**
5a	Net gain from property disposition	**26,383**
5b	Dispositions outside NIIT	**0**
5c	Partnership/S corporation disposition adjustment	**0**
5d	Net disposition gain	**26,383**
6	CFC/PFIC adjustments	**0**
7	Other investment income modifications	**0**
8	**Total investment income**	**34,243**

Part II - Allocable deductions

9a	Investment interest expense	**0**
9b	Allocable income taxes	**0**
9c	Other deductible investment expenses	**0**
9d	Total investment expenses	**0**
10	Other modifications	**0**
11	Total deductions and modifications	**0**

Part III - Individual tax computation

12	Net investment income	**34,243**
13	Modified adjusted gross income	**360,946**
14	Married filing jointly threshold	**250,000**
15	Excess MAGI	**110,946**
16	Lesser of lines 12 and 15	**34,243**
17	**NIIT at 3.8%; carry to Schedule 2, line 12**	**1,301**

Lines 18a-21 (estates and trusts): not applicable. No section 6013 or CFC election.